



GEOECONOMIC
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HOW MACRON'S COURTSHIP OF SYRIA REFLECTS A GLOBAL ECONOMY DEFINED BY NEW DYNAMICS

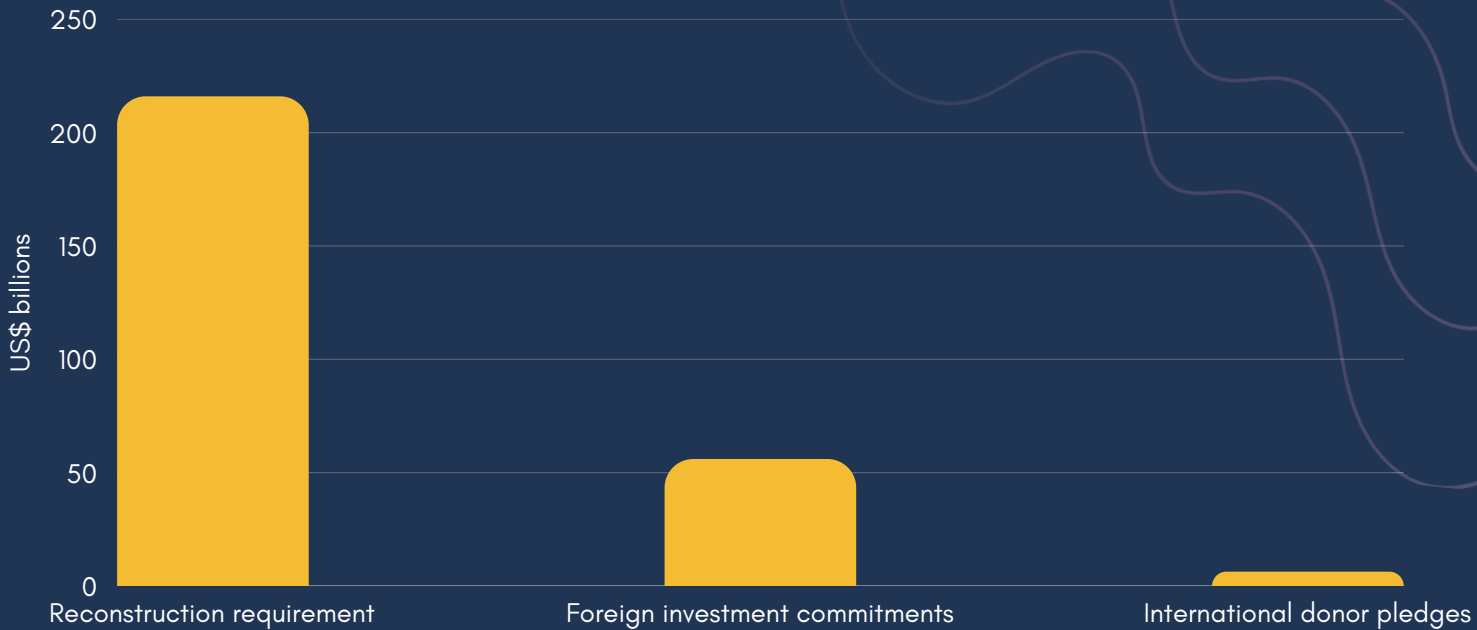
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Emmanuel Macron's recent visit to Syria poses interesting questions. Given the comparably stronger growth in other regions such as South Asia, China, Central Asia and South America and virtually every other country in the Middle East, it seems strange that Emmanuel Macron would prioritise fostering ties with a country whose economy has been devastated by a civil war that raged for almost 13 years. At first glance, the contemporary economic situation in Syria looks ominous; much of the critical infrastructure for the major industries that stimulated the Syrian economy prior to 2014 – crude oil and petroleum products alone accounted for nearly 20% of government revenue just before the conflict [Atlantic Council, 2024] – has been destroyed. Presently, 90% of the population lives in poverty and the growth rate in Syria in 2025 was posted at a disappointing 1% [ECFR, 2026]. To get Syria functioning in the way it was before 2014 will take several years and sustained investment.

However, this forms the crux of the new appeal to invest in the Syrian economy: ***why does the Syrian economy need to be rebuilt in its former image?*** The scale of the war's devastation creates new unforeseen opportunities and may be Syria's strongest advantage for attracting new investment [World Economic Forum, 2026]. Post-war Syria has been spat out into a global economy shaped by totally different dynamics. In 2014, Barack Obama was President of the United States leading an administration defined by liberal ideals and a fundamentally open-minded approach to both its allies and adversaries. Russia's confidence in its own assertiveness was, despite the invasion of Crimea, comparably small and the scepticism of China within the United States was not profound. Thus, the logic lay in maximising and investing heavily in the sectors domestically in which Syria holds natural resources – crude oil and natural gas – and some comparative advantage – textiles and manufacturing – confident in the stability and consistency of established supply-chains.

The volatility of the contemporary global economy, defined by three full-scale wars and fractious trade competition between global powers, poses new challenges and has made the imperative of supply-chain diversification fundamental. Syria's geographic location poses excellent opportunities for such diversification. A by-product of the ruins of the civil war means that the development of the economy can be shaped for the needs of the modern global economy. Instead of leaning on exports of its natural resources, at less competitive and less efficient prices than its neighbours in the Middle East, and its historic textiles and garments industry, Syria has real potential to transform into a global logistics hub – connecting markets through safer and quicker trade routes less impacted by geopolitics – and galvanising new industries within its own economy – such as pharmaceuticals – which would benefit from the diversification of supply-chains through Syria. Hereunder, I explore the potentialities for supply-chain diversification within Syria.

Syria's reconstruction financing gap



Sources: World Bank (2025); European Commission, Brussels Conference on Syria (2025); Syrian officials, as reported by American University of Beirut and FDD. Investment figures represent announced/pledged commitments, not realised capital; donor pledges cover Syria and the wider region.

Latakia and Tartous

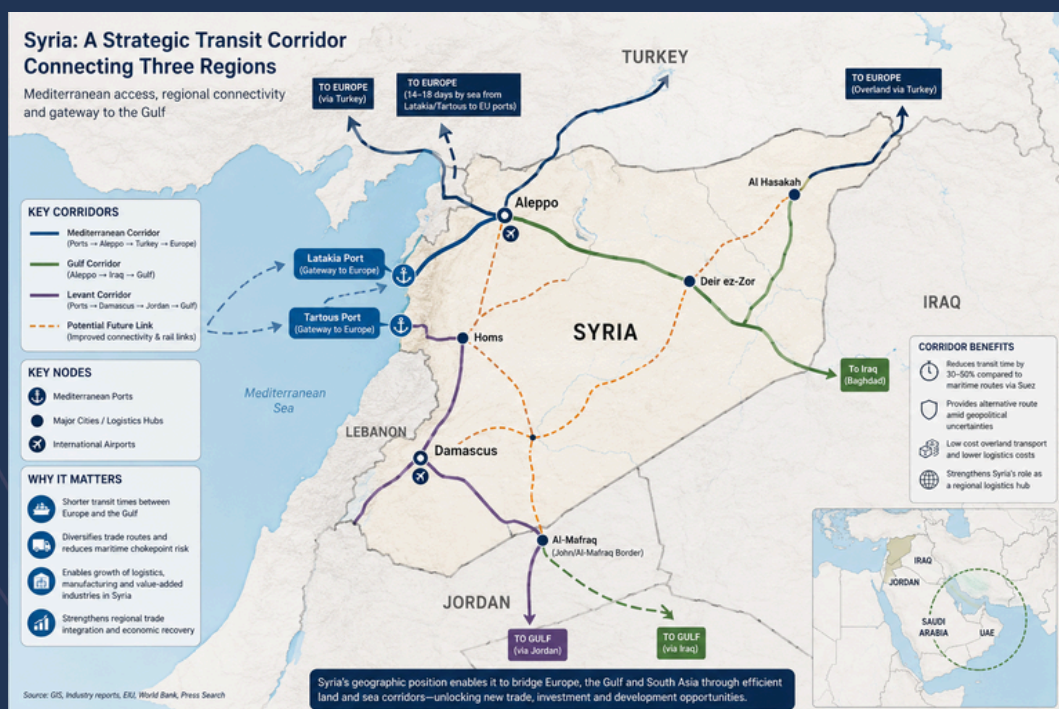
Perhaps Syria's strongest attribute in its credibility as a potential logistics hub and real option for supply-chain diversification lies in its two port cities – Latakia and Tartous. Latakia, to the north, and Tartous, to the South, represent gateways to the Mediterranean and European markets. The US-Iran war has showcased the risks of relying too heavily on maritime corridors. This has already started to come into fruition with Iraq moving 2.1 million tonnes of oil to Syria's Mediterranean coast for onward shipping since April [The National, 2026]. Diversification through Syria's ports has the potential to significantly reduce transit times with positive spillover effects domestically and internationally. Currently, maritime shipping from the Gulf to European ports usually takes between 15 and 30 days depending on the port and shipping line. Estimates suggest that this could be reduced significantly to 4-8 days through overland transport to Syrian and Turkish ports [Geostrategic Media, 2026]. This would prove especially pertinent for time sensitive goods such as pharmaceuticals and fresh products. Before the outbreak of conflict, Syria possessed one of the region's most developed and self-sufficient pharmaceutical industries. Establishing the country as a transit corridor for temperature-sensitive biopharmaceuticals and vaccines would require substantial investment in reliable transport, electricity and cold-chain infrastructure, potentially helping to catalyse the revival of domestic pharmaceutical production [Ghani, Grover Goswami and Kerr, 2016]. The economic value of pharmaceutical transit would extend beyond transport fees. Syria could gradually move from warehousing and distribution into packaging, quality testing, and eventually domestic manufacturing.

Early opportunities would be more likely to include generic medicines, medical consumables and final-stage processing than advanced biologics. Pharmaceutical transit would also support specialised industries such as refrigerated transport, laboratory certification, customs brokerage, digital tracking, secure warehousing and backup power. Many of these capabilities would benefit the wider economy: cold storage could serve agricultural exports, tracking systems could support other manufacturing supply chains, and improved electricity and fibre connectivity would reduce costs across multiple sectors.

The scale and diversity of investment flowing into Syria's Mediterranean ports provide an early indication of their long-term commercial potential. At Latakia, French shipping group CMA CGM has signed a 30-year investment agreement worth €230 million to modernise infrastructure and increase the port's operational capacity [AD Ports Group, 2025]. Tartous has attracted even larger commitments, including an \$800 million investment from the UAE's DP World and a further \$190 million from Turkish company Kuzey Star over five years [Port Technology International, 2026].

The involvement of major French, Emirati and Turkish companies suggests that confidence in Syria's port infrastructure extends across several distinct commercial and geopolitical partners. Crucially, these are not short-term reconstruction projects: the size of the investments and, in Latakia's case, the three-decade timeframe reflect a strategic bet that Syria could develop into an enduring logistics gateway connecting European, Turkish, Iraqi and Gulf markets.

Potential Regional Transit Hub



Source: Reuters, EIB, Syrian Ministry of Transport; GSU analysis.

Aleppo

Aleppo's position near the convergence of Syria's principal north-south and east-west transport arteries gives it exceptional potential to re-emerge as a regional trading hub. The M5 connects northern Syria with Damascus, Jordan and, ultimately, Gulf markets, while the M4 provides access towards Iraq in the east and Syria's Mediterranean ports in the west. Saudi-backed plans to invest approximately \$2 billion in Aleppo's airport infrastructure could add an international air-freight dimension to these overland routes, while STC's separate \$800 million investment in a 4,500-kilometre national fibre-optic network would strengthen the digital infrastructure needed for modern logistics, customs processing and commercial services [Reuters, 2026]. Together, these investments could reduce transport and communications costs, attract warehousing, manufacturing and distribution businesses, and reconnect Aleppo's historically important industrial base with Turkish, Iraqi and Gulf markets.

Challenges and Future Outlook

On paper it all looks rosey. However, for Syria to be widely recognised as a viable alternative for supply-chain diversification we must consider the challenges as well as its outstanding potential. The explosion at a nearby hotel during President Macron's visit to Damascus is a testament to the concerted effort required to rebuild Syria [The Guardian, 2026].

The obvious challenge lies in security. Securitising future trade routes must remain the number one priority. If transiting through Syria seems as risk-laden as through the Strait of Hormuz, the idea of creating Syria into a logistics hub is a non-starter. This will ultimately boil down to the strength of the leadership of Syria's new leader - Ahmed al-Sharaa. Thus far, Ahmed al-Sharaa's leadership seems promising. Having become the first Syrian leader to visit the White House, he has courted a diverse range of global leaders seeking investment. Al-Sharaa clearly holds a degree of charisma and is keen to promote an image of tolerance and stability. Whilst some Western commentators perceive his former links to Al-Qaeda, and the conservative policies imposed whilst Hayat Tahrir al-Sham (the group led by al-Sharaa) held control of Idlib as evidence of a nefarious true-self, the new regime must be trusted to think for itself. To say that Western interference in the internal governance of Iraq, Libya and Afghanistan has proved ineffectual is an insulting understatement. Western forces must accept that Syria will take its own approach to its post-war development. Stable leadership, which promises internal stability, is the most crucial factor. Any imposition of impractical Western democratic values for a country still getting back on its feet risks creating a fertile environment for turmoil fuelled by an anti-Western ideology as seen in both Libya and Iraq. Al-Sharaa's positive negotiation and integration with Kurdish-led forces in February of this year has been paired with a crackdown on active Islamic State forces - illustrated by a marked decrease in attacks.

Further to this, al-Sharad's surprising move to extend openness to its longstanding rival Israel, shows a leader determined to have peaceful cohabitation with all its neighbours. The importance of strong leadership extends beyond security and impacts the technical factors which will need to be ironed out to ensure Syria's viability as a logistics corridor. For Syria to function as a competitive logistics corridor, physical infrastructure will need to be matched by modern digital systems. Efficient customs clearance, cargo tracking, port management and cross-border data exchange will be essential, particularly for time-sensitive goods such as pharmaceuticals. Investment in fibre-optic networks is therefore important, but weak institutional capacity and fragmented administrative systems could limit the benefits if digitisation is not implemented consistently across ports, borders and logistics hubs. Syria would be entering an already competitive regional logistics landscape. Turkish ports, the Suez Canal, Jordanian transport networks and Iraq's developing Al-Faw corridor all provide established alternatives. Syria's advantage would therefore lie less in replacing these routes than in offering a faster or more resilient option for particular supply chains, especially where access to Mediterranean markets or reduced transit times provide a clear commercial benefit.

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